Retail Customer Analysis

Phase 3 — Customer Retention & Cohort Analysis

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Overview

This phase measures customer loyalty by grouping customers into monthly cohorts — by the month of their first purchase — and tracking how many keep buying in the months that follow. This reveals whether the business is building a lasting customer base or relying on a constant stream of one-time buyers. The analysis covers 5,852 identifiable customers over two years of trading.

Results at a Glance

~20%	~17%	5,852	25	2 yrs
RETURN AFTER MONTH 1	LONG-RUN RETENTION	CUSTOMERS TRACKED	MONTHLY COHORTS	PERIOD COVERED

Key Findings

1. **About 1 in 5 first-time buyers returns the following month.**

   Roughly 20% of new customers make another purchase in the month after their first. This is normal for online retail, where many purchases are one-off gifts or single needs rather than repeat shopping.

2. **After the initial drop, loyalty holds steady in the mid-to-high teens.**

   Beyond the first month, retention stabilises around 17%. A dependable core of customers keeps buying month after month — this group is the most valuable to nurture and the focus of the next phases.

3. **The business depends on steadily acquiring new customers.**

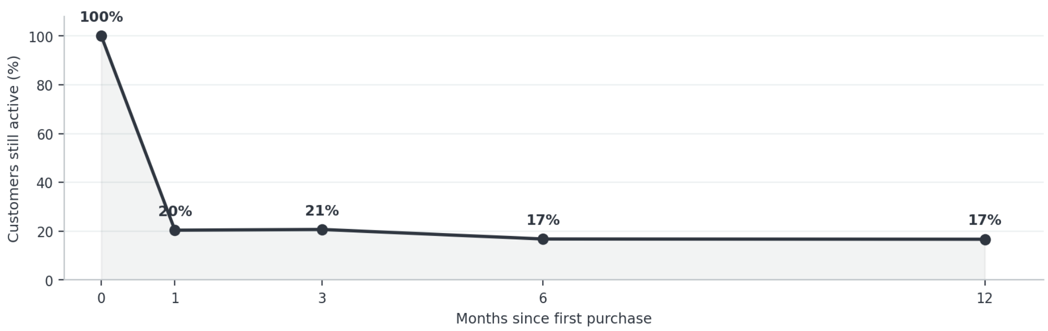
   Because most first-time buyers do not return, sustained sales rely on a continuous flow of new customers. Improving the month-1 return rate is the single highest-leverage opportunity the data points to.

4. **One early group was identified as a pre-existing base and set aside.**

   Customers recorded in the first month of data (December 2009) were already established buyers, not genuine new acquisitions. They were excluded from the headline figures so retention reflects true new-customer behaviour — a correction that keeps the numbers honest.

Retention Over Time

Average share of new customers still active in the months after their first purchase (excluding the December 2009 pre-existing base).



What's Next — Phase 4

Phase 4 segments the customer base using RFM analysis — scoring each customer on how recently they bought, how often, and how much they spend. This turns the broad retention picture into specific, actionable groups such as champions, loyal, at-risk and lost customers.